EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity, and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Ballesteros for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	404,836,231.62	421,333,996.62	(16,497,765.00)
Liabilities	70,218,292.50	90,052,509.27	(19,834,216.77)
Government Equity	334,617,939.12	331,281,487.35	3,336,451.77
Financial Performance			
Income	174,113,508.33	164,285,288.91	9,828,219.42
Expense	172,468,136.15	156,202,813.87	16,265,322.28
Net Income	1,645,372.18	8,082,475.04	(6,437,102.86)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Concreting of Various Roads at Sosa Street (Baran), Bonifacio Cortez St. (Palloc) and Paño St. (Nararagan)	P 9,980,562.76
Concreting of Various Roads at Pinol St. (Payagan West), R. Mendoza St. (Payagan West), J. Mendoza St. (Payagan West) and Temporal St. (Mabuttal East)	3,984,993.54
Potable Water Supply: Procurement of Jetmatic Pumps with Complete Accessories	996,660.00
Procurement and Distribution of Farm Sprayers to Farmers	299,400.00
Procurement of Rescue Vehicle	1,331,500.00
Procurement of one unit Brand New Excavator	4,300,000.00
Procurement of one unit Brand New Firetruck	3,450,000.00
Total	**P24,343,116.30**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2024 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P249,715,382.69 as at December 31, 2024 cannot be determined due to: (1) incomplete inventory report of PPE and non-reconciliation of RPCPPE and property accounting records; (2) non-maintenance of Property Cards for PPE; (3) non-conduct of the one-time cleansing procedures in its physical inventory; and (4) non-derecognition of properties, with costs below the capitalization threshold of P50,000.00.

2. The accuracy of the Road Networks account totaling P160,539,737.22 as at December 31, 2024 cannot be established due to: (1) unreconciled balance per Accounting records and Inventory Report amounting to P39,937,515.73; (2) non-maintenance of a complete Local Road Network Property Card, Local Road Network Ledger Card and subsidiary ledgers for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the road network system.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Of the available appropriations for the CY 2024 Local Disaster Risk Reduction and Management Fund totaling P42,507,071.55, the LGU disbursed the amount of

P25,486,565.00 or 59.96 percent utilization as of December 31, 2024 in response to the disaster needs of the LGU and to alleviate the damages to its constituents caused by the calamities endured in CY 2024. However, several programs/projects/activities under the current year appropriation, continuing appropriations and from the funds received from other LGUs and other sources in previous years, were not implemented during the year, hence, the funds therefor remained idle and the purposes for which they were intended were not fully achieved.

We recommended that the Local Chief Executive enjoin the Municipal DRRM Officer and other concerned implementing offices to fully utilize the LDRRM Fund and implement all budgeted projects identified in its Local Disaster Risk Reduction and Management Investment Plan. Moreover, we recommended that the funds from other LGUs and other sources received in previous years be utilized in accordance with the Memoranda of Agreement.

2. Several transportation equipment acquired by the LGU from the Philippine Charity Sweepstakes Office, Provincial Government of Cagayan and Department of Environment and Natural Resources in previous years were not recorded in the books of accounts, thereby, understating the appropriate transportation equipment accounts and casts doubts on the completeness and accuracy of the PPE accounts in the financial statements of the LGU.

   We recommended that the Management undertake the following:

   A. Coordinate with the donor agencies and secure appropriate documents that will accurately provide the cost of these assets at the time of transfer, if possible. Otherwise, the Management shall reliably determine their fair value at the time of acquisition;

   B. Require the Municipal Accountant to record the costs in the books of the LGU using the appropriate PPE accounts and compute the corresponding accumulated depreciation;

   C. Require the General Service Officer to bring the motorcycle for emission and submit its result in accordance with the instructions of the Provincial Government of Cagayan; and

   D. Require the GSO to secure from the Provincial Government of Cagayan the copy of Deeds of Donation for the Patient Transport Vehicle and motorcycle. Thereafter, appropriate procedures should be undertaken to transfer the Official Receipts and Certificates of Registration (OR/CR) of the vehicles in the name of the LGU.

3. The LGU was able to implement 19 out of 30 programs/ projects/ activities under the CY 2024 and continuing appropriations of the 20% Development Fund, in

which only seven (7) projects were completed and 12 are on-going as of year-end. Meanwhile, 11 PPAs with appropriations totaling to P24,860,000.00 were not implemented as at December 31, 2024, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

We also recommended that the Municipal Planning and Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the LGU to fully achieve the desired socio-economic targets and outcomes.

4. The payrolls submitted to liquidate the cash advances for financial assistance to the victims of Typhoon Marce totaling P14,785,000.00 were signed by persons other than the payees named therein, without submitting a written authority from the payees concerned. Moreover, inconsistencies in the signatures of recipients from the first and second distributions of financial assistance were noted. These irregularities indicate weakness in the control environment, thus, exposing the public funds to risk of improper or illegal use.

   We recommended that the Municipal Accountant, the Municipal Treasurer and the concerned LGU officers, henceforth, require the submission of a written authority executed by the intended recipients authorizing other individuals to receive, on their behalf, the amount due, in compliance with Item 1.2.1 of COA Circular No. 2012-001.

   Moreover, we recommended that the Management investigate the claims, which were received by other individuals and the occurrence of inconsistent signatures in order to determine whether the assistance reached the intended recipients of the financial assistance.

   Finally, we recommended that the Management strengthen its control environment through the creation of LGU operational guidelines, which will guide Accountable Officers and concerned LGU employees in the conduct of distribution of financial assistance and other similar activities and at the same time, will enable effective information dissemination by employing all available platforms to reach all constituents.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					
Prior Years	474,835.27	**-**	**-**	474,835.27	-
Current Year	**-**	**-**	**-**	**-**	-
Total	**474,835.27**	**-**	**-**	**474,835.27**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the CY 2023 Annual Audit Report, five (5) were fully implemented, five (5) were partially implemented, and four (4) were not implemented.